

CSCI/MATH 485 Assignment

Customer Churn Prediction with XGBoost

Starter Notebook

This notebook is compatible with **Jupyter Notebook** and **Google Colab**.

This starter code is only to get you started. You can change any of the existing code here to complete all the tasks.

Complete all `TODO` sections. Make sure your final submission includes:

- data analysis,
- a tuned XGBoost model,
- your chosen main evaluation metric and justification,
- interpretation of top important features,
- and a final comparison with the baseline model.

1. Setup

```
In [1]: # If you are using Google Colab, uncomment the next line if xgboost is not i  
# !pip install xgboost
```

```
In [2]: import pandas as pd  
import numpy as np  
import seaborn as sns  
  
from sklearn.model_selection import train_test_split, GridSearchCV  
from sklearn.compose import ColumnTransformer  
from sklearn.pipeline import Pipeline  
from sklearn.impute import SimpleImputer  
from sklearn.preprocessing import OneHotEncoder  
from sklearn.linear_model import LogisticRegression  
from sklearn.metrics import (  
    accuracy_score,  
    precision_score,  
    recall_score,  
    f1_score,  
    roc_auc_score,  
    classification_report,  
    confusion_matrix  
)  
  
from xgboost import XGBClassifier
```

2. Load the Dataset

Instructions for students

- Load the IBM Telco Customer Churn dataset.
- Display the first few rows.
- Confirm the dataset shape.
- If the url doesn't work for you, download the csv file from the Canvas Assignment#4

```
In [3]: #url = "https://raw.githubusercontent.com/plotly/datasets/master/telco-customer-churn.csv"
file = open('telco-customer-churn-by-IBM.csv')
df = pd.read_csv(file)

# Display the first 5 rows of the dataset (done below)
df.head()

# TODO:
# Display the shape of the dataset
shape = df.shape
print(shape)
```

(7043, 21)

3. Data Exploration

Complete the following:

- Print all column names
- Show data types
- Count missing values in each column
- Show the distribution of the target variable
- Write a short note: Is this a classification or regression problem? Why is this useful in business?

```
In [4]: # TODO:
# Print column names
# Print data types
# Print missing values for each column
# Print value counts for the target column

print("Columns:")
# your code here
cols = df.columns
print(cols)

print("\nData types:")
# your code here
dtypes = df.dtypes
```

```
print(dtypes)

print("\nMissing values:")
# your code here
mVals = df.isnull() # .isna() ?
print(mVals)

print("\nTarget distribution:")
# yourcode here

tDist = df['Churn'].value_counts()

print(tDist)

# Extra: display other information of the dataset that you think can be usef
print("Monthly Charges density plot")
sns.kdeplot(data=df, x='MonthlyCharges')
#sns.kdeplot(data=df, x='tenure')
print("Contract values")
print(df['Contract'].value_counts())

print("Tenure quantiles:")
print(df['tenure'].quantile([0, 0.25, 0.5, 0.75, 1]))

print("Head:")
print(df.head())

print("Print all values for string variables:")
print(df.select_dtypes(include=['string']).apply(pd.Series.unique))

print("Print all values for PaymentMethod")
print(df['PaymentMethod'].unique())

print("Print all values for SeniorCitizen")
print(df['SeniorCitizen'].unique())
```

Columns:

```
Index(['customerID', 'gender', 'SeniorCitizen', 'Partner', 'Dependents',
      'tenure', 'PhoneService', 'MultipleLines', 'InternetService',
      'OnlineSecurity', 'OnlineBackup', 'DeviceProtection', 'TechSupport',
      'StreamingTV', 'StreamingMovies', 'Contract', 'PaperlessBilling',
      'PaymentMethod', 'MonthlyCharges', 'TotalCharges', 'Churn'],
      dtype='str')
```

Data types:

```
customerID      str
gender          str
SeniorCitizen   int64
Partner         str
Dependents      str
tenure          int64
PhoneService    str
MultipleLines   str
InternetService str
OnlineSecurity  str
OnlineBackup    str
DeviceProtection str
TechSupport     str
StreamingTV     str
StreamingMovies str
Contract        str
PaperlessBilling str
PaymentMethod   str
MonthlyCharges  float64
TotalCharges    str
Churn           str
dtype: object
```

Missing values:

	customerID	gender	SeniorCitizen	Partner	Dependents	tenure	\
0	False	False	False	False	False	False	
1	False	False	False	False	False	False	
2	False	False	False	False	False	False	
3	False	False	False	False	False	False	
4	False	False	False	False	False	False	
...	...	...	...	...	...	...	
7038	False	False	False	False	False	False	
7039	False	False	False	False	False	False	
7040	False	False	False	False	False	False	
7041	False	False	False	False	False	False	
7042	False	False	False	False	False	False	

	PhoneService	MultipleLines	InternetService	OnlineSecurity	...	\
0	False	False	False	False	...	
1	False	False	False	False	...	
2	False	False	False	False	...	
3	False	False	False	False	...	
4	False	False	False	False	...	
...	...	...	...	...	...	
7038	False	False	False	False	...	
7039	False	False	False	False	...	
7040	False	False	False	False	...	

```

7041      False      False      False      False      ...
7042      False      False      False      False      ...

      DeviceProtection  TechSupport  StreamingTV  StreamingMovies  Contract
\
0      False      False      False      False      False
1      False      False      False      False      False
2      False      False      False      False      False
3      False      False      False      False      False
4      False      False      False      False      False
...      ...      ...      ...      ...      ...
7038      False      False      False      False      False
7039      False      False      False      False      False
7040      False      False      False      False      False
7041      False      False      False      False      False
7042      False      False      False      False      False

      PaperlessBilling  PaymentMethod  MonthlyCharges  TotalCharges  Churn
0      False      False      False      False      False
1      False      False      False      False      False
2      False      False      False      False      False
3      False      False      False      False      False
4      False      False      False      False      False
...      ...      ...      ...      ...      ...
7038      False      False      False      False      False
7039      False      False      False      False      False
7040      False      False      False      False      False
7041      False      False      False      False      False
7042      False      False      False      False      False

```

[7043 rows x 21 columns]

Target distribution:

Churn

No 5174

Yes 1869

Name: count, dtype: int64

Monthly Charges density plot

Contract values

Contract

Month-to-month 3875

Two year 1695

One year 1473

Name: count, dtype: int64

Tenure quantiles:

0.00 0.0

0.25 9.0

0.50 29.0

0.75 55.0

1.00 72.0

Name: tenure, dtype: float64

Head:

```

      customerID  gender  SeniorCitizen  Partner  Dependents  tenure  PhoneService
\
0  7590-VHVEG  Female      0      Yes      No      1      No
1  5575-GNVDE  Male      0      No      No      34      Yes

```

2	3668-QPYBK	Male	0	No	No	2	Yes
3	7795-CF0CW	Male	0	No	No	45	No
4	9237-HQITU	Female	0	No	No	2	Yes

	MultipleLines	InternetService	OnlineSecurity	...	DeviceProtection	\
0	No phone service	DSL	No	...	No	No
1	No	DSL	Yes	...	Yes	Yes
2	No	DSL	Yes	...	No	No
3	No phone service	DSL	Yes	...	Yes	Yes
4	No	Fiber optic	No	...	No	No

	TechSupport	StreamingTV	StreamingMovies	Contract	PaperlessBilling
0	No	No	No	Month-to-month	Yes
1	No	No	No	One year	No
2	No	No	No	Month-to-month	Yes
3	Yes	No	No	One year	No
4	No	No	No	Month-to-month	Yes

	PaymentMethod	MonthlyCharges	TotalCharges	Churn
0	Electronic check	29.85	29.85	No
1	Mailed check	56.95	1889.5	No
2	Mailed check	53.85	108.15	Yes
3	Bank transfer (automatic)	42.30	1840.75	No
4	Electronic check	70.70	151.65	Yes

[5 rows x 21 columns]

Print all values for string variables:

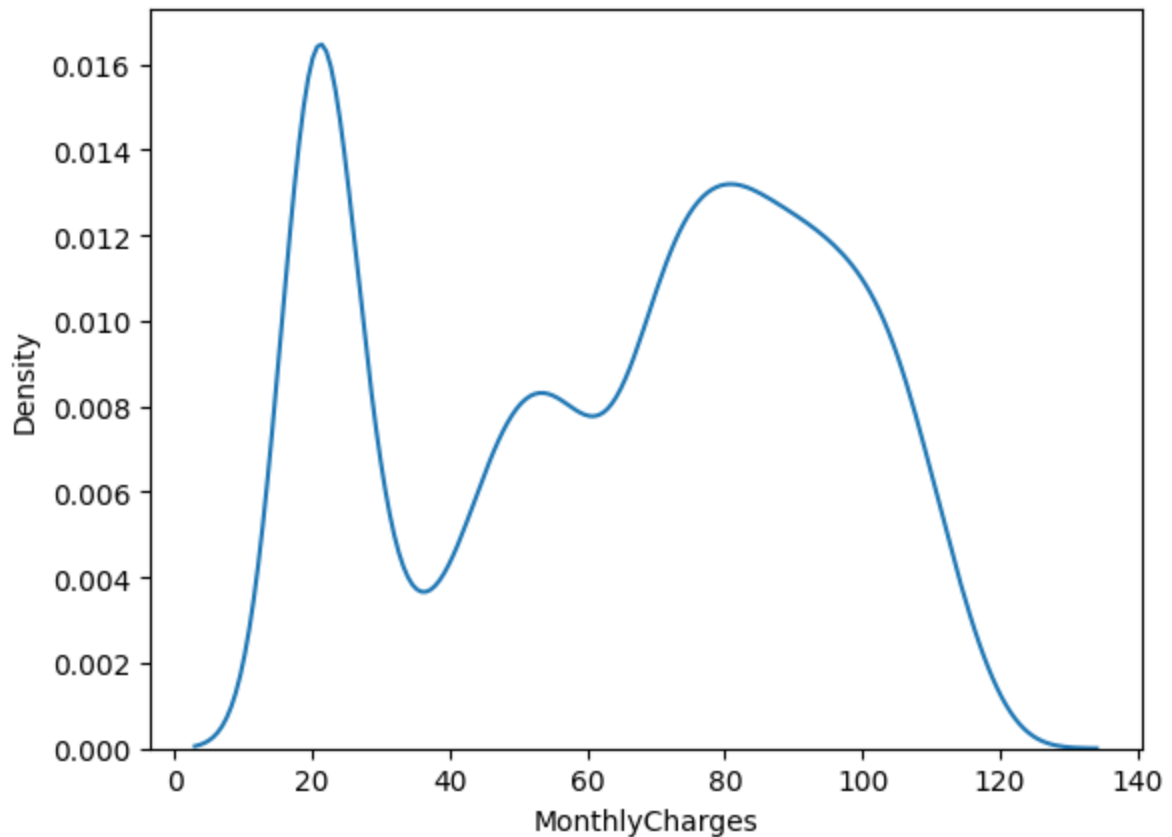
```
customerID      [7590-VHVEG, 5575-GNVDE, 3668-QPYBK, 7795-CF0C...
gender          [Female, Male]
Partner         [Yes, No]
Dependents      [No, Yes]
PhoneService    [No, Yes]
MultipleLines   [No phone service, No, Yes]
InternetService [DSL, Fiber optic, No]
OnlineSecurity  [No, Yes, No internet service]
OnlineBackup    [Yes, No, No internet service]
DeviceProtection [No, Yes, No internet service]
TechSupport     [No, Yes, No internet service]
StreamingTV     [No, Yes, No internet service]
StreamingMovies [No, Yes, No internet service]
Contract        [Month-to-month, One year, Two year]
PaperlessBilling [Yes, No]
PaymentMethod   [Electronic check, Mailed check, Bank transfer...
TotalCharges    [29.85, 1889.5, 108.15, 1840.75, 151.65, 820.5...
Churn           [No, Yes]
dtype: object
```

Print all values for PaymentMethod

```
<StringArray>
[      'Electronic check',      'Mailed check',
      'Bank transfer (automatic)', 'Credit card (automatic)']
Length: 4, dtype: str
```

Print all values for SeniorCitizen

```
[0 1]
```



TODO (write your answer below):

1. What kind of machine learning problem is this?
2. Why is churn prediction important in a business setting?

Replace this text with your answer.

I would go with a Bayesian Network, since it looks like the majority of the variables reduce to simple TRUE/FALSE results, which allow for the required conditional probabilities. I'm a little concerned at how I would incorporate the MonthlyCharges variable, since cost I would a priori expect cost to be a significant factor in customer's choice to end service.

Reducing churn when providing ongoing services leads to an increased customer base.

4. Basic Cleaning

Compleat the following:

- Identify whether there is an ID column that should be removed
- Convert the target column into binary form if needed
- Convert any numeric-looking columns stored as text into numeric values

```
In [5]: # Make a copy so the original data remains unchanged
df_clean = df.copy()

# TODO:
# 1. Drop any unnecessary identifier column(s)
# 2. Convert the target column to 0/1
# 3. Convert any columns that should be numeric into numeric type
# 4. Handle invalid parsing if needed

df_clean = df_clean.drop(columns=['customerID',
                                  'PaymentMethod',
                                  'MultipleLines',
                                  'Contract'])

# Yes/Nos
df_clean["Churn"] = df_clean["Churn"].map({"Yes": 1, "No": 0})
## Apparently I was overthinking things:
#df_clean["Partner"] = df_clean["Partner"].map({"Yes": 1, "No": 0})
#df_clean["PhoneService"] = df_clean["PhoneService"].map({"Yes": 1, "No": 0})
#df_clean["OnlineSecurity"] = df_clean["OnlineSecurity"].map({"Yes": 1, "No": 0})
#df_clean["OnlineBackup"] = df_clean["OnlineBackup"].map({"Yes": 1, "No": 0})
#df_clean["DeviceProtection"] = df_clean["DeviceProtection"].map({"Yes": 1,

#df_clean["TechSupport"] = df_clean["TechSupport"].map({"Yes": 1, "No": 0})
#df_clean["StreamingTV"] = df_clean["StreamingTV"].map({"Yes": 1, "No": 0})
#df_clean["StreamingMovies"] = df_clean["StreamingMovies"].map({"Yes": 1, "No": 0})
#df_clean["PaperlessBilling"] = df_clean["PaperlessBilling"].map({"Yes": 1, "No": 0})
#df_clean["Dependents"] = df_clean["Dependents"].map({"Yes": 1, "No": 0})

df_clean['TotalCharges'] = pd.to_numeric(df_clean['TotalCharges'], errors="coerce")
#df_clean[""] = df_clean[""].map({"Yes": 1, "No": 0})

# df_clean = df_clean.drop(columns=[...])
# df_clean["Churn"] = df_clean["Churn"].map({"Yes": 1, "No": 0})
# df_clean["TotalCharges"] = pd.to_numeric(df_clean["TotalCharges"], errors="coerce")
print(df_clean['TotalCharges'].dtype)
df_clean.head()
```

float64

```
Out[5]:
```

	gender	SeniorCitizen	Partner	Dependents	tenure	PhoneService	InternetService	Online
0	Female	0	Yes	No	1	No	DSL	
1	Male	0	No	No	34	Yes	DSL	
2	Male	0	No	No	2	Yes	DSL	
3	Male	0	No	No	45	No	DSL	
4	Female	0	No	No	2	Yes	Fiber optic	

5. Define Features and Target

Compleat the following:

- Define X and y
- Set the correct target column

```
In [6]: # TODO:
# Replace with the correct target column name
target_col = "Churn"

X = df_clean.drop(columns=[target_col])
y = df_clean[target_col]

print("Feature matrix shape:", X.shape)
print("Target shape:", y.shape)
```

Feature matrix shape: (7043, 16)

Target shape: (7043,)

6. Identify Numeric and Categorical Features

Compleat the following:

- Create a list of numeric columns
- Create a list of categorical columns

```
In [7]: # TODO:
# Identify numeric and categorical feature columns

numeric_features = ['MonthlyCharges',
                    'TotalCharges',
                    'tenure']

categorical_features = ['gender',
                        'SeniorCitizen',
                        'Partner',
                        'Dependents',
                        'PhoneService',
                        'InternetService',
                        'OnlineSecurity',
                        'OnlineBackup',
                        'DeviceProtection',
                        'TechSupport',
                        'StreamingTV',
                        'StreamingMovies',
                        'PaperlessBilling']

print("Numeric features:")
print(numeric_features)

print("\nCategorical features:")
print(categorical_features)
```

Numeric features:

```
['MonthlyCharges', 'TotalCharges', 'tenure']
```

Categorical features:

```
['gender', 'SeniorCitizen', 'Partner', 'Dependents', 'PhoneService', 'InternetService', 'OnlineSecurity', 'OnlineBackup', 'DeviceProtection', 'TechSupport', 'StreamingTV', 'StreamingMovies', 'PaperlessBilling']
```

7. Train/Test Split

Completing the following:

- Split the dataset into training and testing sets
- Use stratification if appropriate

```
In [8]: # TODO:
# Create train/test split

X_train, X_test, y_train, y_test = train_test_split(
    X,
    y,
    test_size=0.2,
    random_state=42,
    stratify=y
)

print("X_train shape:", X_train.shape)
print("X_test shape:", X_test.shape)
```

```
X_train shape: (5634, 16)
```

```
X_test shape: (1409, 16)
```

8. Preprocessing Pipelines

Build preprocessing for:

- numeric features
- categorical features

Then combine them into a `ColumnTransformer`.

```
In [9]: # TODO:
# Build numeric preprocessing pipeline
numeric_transformer = Pipeline(steps=[
    # Example:
    # ("imputer", SimpleImputer(strategy="median"))
    ("num_imputer", SimpleImputer(strategy="median"))
])

# TODO:
# Build categorical preprocessing pipeline
categorical_transformer = Pipeline(steps=[
```

```

# Example:
# ("imputer", SimpleImputer(strategy="most_frequent")),
# ("onehot", OneHotEncoder(handle_unknown="ignore"))
("cat_impputer", SimpleImputer(strategy="most_frequent")),
("onehot", OneHotEncoder(handle_unknown="ignore"))
])

# TODO:
# Combine both preprocessing pipelines
preprocessor = ColumnTransformer(transformers=[
    # Example:
    # ("num", numeric_transformer, numeric_features),
    # ("cat", categorical_transformer, categorical_features)
    ("num_trans", numeric_transformer, numeric_features),
    ("cat_trans", categorical_transformer, categorical_features)
])

preprocessor

```

Out[9]:

```

    ▸ ColumnTransformer ⓘ ?
      ▸ num_trans
      ▸ cat_trans
    ▸ SimpleImputer ⓘ
      ▸ SimpleImputer ⓘ
      ▸ OneHotEncoder ⓘ

```

9. Baseline Model: Logistic Regression

Compleat the following:

- Train a Logistic Regression model as the baseline
- Generate predictions
- Evaluate using multiple metrics
- You may need to adjust `max_iter` if the model is not converging.

```

In [10]: baseline_model = Pipeline(steps=[
    ("preprocessor", preprocessor),
    ("classifier", LogisticRegression(max_iter=5000))
])

# TODO:
# Fit the baseline model
# Generate predicted labels
# Generate predicted probabilities

# your code here

baseline_model.fit(X_train, y_train)
baseline_pred = baseline_model.predict(X_test)
baseline_proba = baseline_model.predict_proba(X_test)[:, 1]

```

```
#baseline_pred_30 =
```

```
In [11]: # TODO:
# Compute and print:
# - Accuracy
print("Accuracy:")
print(accuracy_score(y_test, baseline_pred))
print("0.1:", accuracy_score(y_test, (baseline_prob > 0.1).astype(int)))
print("0.2:", accuracy_score(y_test, (baseline_prob > 0.2).astype(int)))
print("0.3:", accuracy_score(y_test, (baseline_prob > 0.3).astype(int)))
print("0.4:", accuracy_score(y_test, (baseline_prob > 0.4).astype(int)))
print("0.5:", accuracy_score(y_test, (baseline_prob > 0.5).astype(int)))
print("0.6:", accuracy_score(y_test, (baseline_prob > 0.6).astype(int)))
print("0.7:", accuracy_score(y_test, (baseline_prob > 0.7).astype(int)))

# - Precision
print("Precision:")
print(precision_score(y_test, baseline_pred))
# - Recall
print("Recall:")
print(recall_score(y_test, baseline_pred))
# - F1-score
print("F1-Score:")
print(f1_score(y_test, baseline_pred))
print("0.1:", f1_score(y_test, (baseline_prob > 0.1).astype(int)))
print("0.2:", f1_score(y_test, (baseline_prob > 0.2).astype(int)))
print("0.3:", f1_score(y_test, (baseline_prob > 0.3).astype(int)))
print("0.4:", f1_score(y_test, (baseline_prob > 0.4).astype(int)))
print("0.5:", f1_score(y_test, (baseline_prob > 0.5).astype(int)))
print("0.6:", f1_score(y_test, (baseline_prob > 0.6).astype(int)))
print("0.7:", f1_score(y_test, (baseline_prob > 0.7).astype(int)))

# - ROC-AUC
print("ROC-AUC:")
print(roc_auc_score(y_test, baseline_prob))

# Suggested variable names:
# baseline_preds
# baseline_probs

# your code here
```

```

Accuracy:
0.7963094393186657
0.1: 0.5848119233498935
0.2: 0.6919801277501775
0.3: 0.7501774308019872
0.4: 0.794889992902768
0.5: 0.7963094393186657
0.6: 0.7899219304471257
0.7: 0.7721788502484032
Precision:
0.639871382636656
Recall:
0.5320855614973262
F1-Score:
0.581021897810219
0.1: 0.5489591364687741
0.2: 0.5890151515151515
0.3: 0.6097560975609756
0.4: 0.6299615877080665
0.5: 0.581021897810219
0.6: 0.4896551724137931
0.7: 0.3408624229979466
ROC-AUC:
0.8363558862280089

```

```

In [12]: # Optional but helpful
# TODO:
# Print classification report and confusion matrix

# your code here
print("Classification Report:")
print(classification_report(y_test, baseline_pred))
print("Confusion Matrix:")
print(confusion_matrix(y_test, baseline_pred))

```

```

Classification Report:
              precision    recall  f1-score   support

     0               0.84        0.89        0.87        1035
     1               0.64        0.53        0.58         374

 accuracy               0.80        1409
 macro avg              0.74        0.71        0.72        1409
 weighted avg           0.79        0.80        0.79        1409

```

```

Confusion Matrix:
[[923 112]
 [175 199]]

```

10. Choose Your Main Evaluation Metric

Choose **one main metric** for this churn problem.

You must explain:

- which metric you chose,
- why it is appropriate,
- and why it is more informative than accuracy alone for this problem.

F1-score seems like the best metric. It's focused to what we are concerned about (Churners), while weighing performance towards non-churners less. Though the default threshold of 0.5 seems too high, 0.4 looks to be better. It is more informative than Accuracy alone because Accuracy is including how often the model correctly identifies non-churners, who are the vast majority, which will give an inflated metric of performance. It will be technically more correct, but we don't care about the kind of correct it is; much the same as a model which simply "predicts" every integer as "not Prime" will have >95% Accuracy.

TODO (write your answer below):

Replace this text with your answer.

11. XGBoost Model

Compleat the following:

- Build an XGBoost pipeline
- Tune at least 3 hyperparameters
- Use either GridSearchCV or your own tuning approach

```
In [13]: xgb_model = Pipeline(steps=[
    ("preprocessor", preprocessor),
    ("classifier", XGBClassifier(
        eval_metric="logloss",
        random_state=42
    ))
])

# TODO:
# Define a hyperparameter grid with at least 3 hyperparameters
param_grid = {
    # Example format:
    # "classifier__n_estimators": [50, 100],
    # "classifier__max_depth": [3, 5],
    # "classifier__learning_rate": [0.05, 0.1]
    "classifier__n_estimators": [50, 100],
    "classifier__max_depth": [3, 5],
    "classifier__learning_rate": [0.05, 0.1]
}

param_grid
```

```
Out[13]: {'classifier__n_estimators': [50, 100],
          'classifier__max_depth': [3, 5],
          'classifier__learning_rate': [0.05, 0.1]}
```

```
In [14]: # TODO:
# Run GridSearchCV (or perform manual tuning)
# Choose a scoring metric that matches your selected main evaluation metric

grid_search = GridSearchCV(
    estimator=xgb_model,
    param_grid=param_grid,
    scoring="f1", # TODO: replace with your chosen scoring metric
    cv=3,
    n_jobs=-1,
    verbose=1
)

# TODO:
# Fit grid search on training data
grid_search.fit(X_train, y_train)
# your code here
```

Fitting 3 folds for each of 8 candidates, totalling 24 fits

```
Out[14]:
  ▸ GridSearchCV ⓘ ⓘ
    ▸ best_estimator_: Pipeline
      ▸ preprocessor: ColumnTransformer ⓘ
        ▸ num_trans
        ▸ cat_trans
        ▸ SimpleImputer ⓘ
        ▸ SimpleImputer ⓘ
        ▸ OneHotEncoder ⓘ
      ▸ XGBClassifier ⓘ
```

```
In [15]: # TODO:
# Print the best hyperparameters
# Save the best model
print(grid_search.best_params_)
# your code here
xgb_model = grid_search.best_estimator_

{'classifier__learning_rate': 0.1, 'classifier__max_depth': 5, 'classifier__n_estimators': 100}
```

12. Evaluate the Tuned XGBoost Model

Evaluate XGBoost using the same metrics as the baseline.

```
In [16]: # TODO:
# Generate predictions and probabilities using the best XGBoost model

# Suggested variable names:
# xgb_preds
# xgb_probs

# your code here
xgb_pred = xgb_model.predict(X_test)
xgb_prob = xgb_model.predict_proba(X_test)[:, 1]
threshold = 0.4
xgb_pred_th = (xgb_prob > threshold).astype(int)
```

```
In [17]: # TODO:
# Compute and print:
# - Accuracy
# - Precision
# - Recall
# - F1-score
# - ROC-AUC

# your code here
print("Accuracy:")
print(accuracy_score(y_test, xgb_pred))
print(accuracy_score(y_test, xgb_pred_th))
# - Precision
print("Precision:")
print(precision_score(y_test, xgb_pred))
print(precision_score(y_test, xgb_pred_th))
# - Recall
print("Recall:")
print(recall_score(y_test, xgb_pred))
print(recall_score(y_test, xgb_pred_th))
# - F1-score
print("F1-Score:")
print(f1_score(y_test, xgb_pred))
print(f1_score(y_test, xgb_pred_th))
# - ROC-AUC
print("ROC-AUC:")
print(roc_auc_score(y_test, xgb_prob))
```

```
Accuracy:
0.7970191625266146
0.7913413768630234
Precision:
0.6527777777777778
0.5980392156862745
Recall:
0.5026737967914439
0.6524064171122995
F1-Score:
0.56797583081571
0.6240409207161125
ROC-AUC:
0.832925159523625
```



```
In [18]: # Optional but helpful
# TODO:
# Print classification report and confusion matrix

# your code here
print("Classification Report:")
print(classification_report(y_test, xgb_pred))
print("Threshold: ", threshold)
print(classification_report(y_test, xgb_pred_th))
print("Confusion Matrix:")
print(confusion_matrix(y_test, xgb_pred))
print("Threshold: ", threshold)
print(confusion_matrix(y_test, xgb_pred_th))
```

Classification Report:

	precision	recall	f1-score	support
0	0.83	0.90	0.87	1035
1	0.65	0.50	0.57	374
accuracy			0.80	1409
macro avg	0.74	0.70	0.72	1409
weighted avg	0.79	0.80	0.79	1409

Threshold: 0.4

	precision	recall	f1-score	support
0	0.87	0.84	0.86	1035
1	0.60	0.65	0.62	374
accuracy			0.79	1409
macro avg	0.73	0.75	0.74	1409
weighted avg	0.80	0.79	0.79	1409

Confusion Matrix:

```
[[935 100]
```

```
 [186 188]]
```

Threshold: 0.4

```
[[871 164]
```

```
 [130 244]]
```

13. Feature Importance

Use the trained XGBoost model to:

- extract feature importances,
- recover transformed feature names,
- display the top 5 to 10 most important features.

```
In [19]: # TODO:
# Access the fitted preprocessor and fitted XGBoost classifier from the pipe

# Example structure:
```

```
# fitted_preprocessor = best_model.named_steps["preprocessor"]
# fitted_xgb = best_model.named_steps["classifier"]

# your code here

fitted_preprocessor = xgb_model.named_steps["preprocessor"]
fitted_xgb = xgb_model.named_steps["classifier"]
```

```
In [20]: # TODO:
# Get transformed feature names
# Get feature importances
# Create a DataFrame sorted by importance

# Example structure:
# feature_names = fitted_preprocessor.get_feature_names_out()
# importances = fitted_xgb.feature_importances_

# your code here
feature_names = fitted_preprocessor.get_feature_names_out()
importances = fitted_xgb.feature_importances_
```

```
In [21]: # TODO:
# Display the top 10 most important features
top_features = pd.DataFrame({
    'feature': feature_names,
    'importance': importances
}).sort_values("importance", ascending=False)
# your code here
print(top_features.head(10))
```

	feature	importance
16	cat_trans__OnlineSecurity_No	0.287828
13	cat_trans__InternetService_DSL	0.166957
25	cat_trans__TechSupport_No	0.137715
14	cat_trans__InternetService_Fiber optic	0.127088
2	num_trans__tenure	0.050663
34	cat_trans__PaperlessBilling_No	0.020458
30	cat_trans__StreamingTV_Yes	0.016511
0	num_trans__MonthlyCharges	0.016164
11	cat_trans__PhoneService_No	0.016020
9	cat_trans__Dependents_No	0.015479

14. Interpret the Top Features

Write a short interpretation of the most important features.

Your explanation should:

- use plain language,
- connect features to churn behavior,
- and explain what the company might learn from them.

TODO (write your answer below):

The highest scoring feature that my model found was if the customer did not have the Online Security feature, followed by having DSL service, not having Tech Support, and the customer's Tenure to round out the top five. Interpreting these first five: I would group the OnlineSecurity and Techsupport as being specific features, likely with the most explanatory features. DSL and FiberOptic I would scrutinize as them both being included together since, if I were to continue the data science lifecycle, I strongly suspect this is a case of most customers have one or the other service. Such that most cases of churn would include them, simply because most of all cases include them. If that is not the case, perhaps people only using their non-ISP (telephone?) services are far more satisfied with what they recieved. Tenure would also need to be looked in order to have more explanatory power. However it being so high suggests that it does hold predictive power for Churn, the exact pattern of that would need to be looked at however. That said, since Churn is a matter of customers leaving, we would expect most of the low Tenure customers to be included in the Churn. So that would need to be accounted for, at which point it may lose any explanatory power.

The following five highest scoring features are: not having Paperless Billing, StreamingTV service, the customer's Monthly Charges, not having Phone Service, and not having Dependents. Interpreting the following five: PaperlessBilling is similar to OnlineSecurity and TechSupport in that it is more of a utility oriented, non-entertainment services provided. StreamingTV yes is countertuitive, but could suggest that it is currently priced higher than customers are willing. Not having a PhoneService could reinforce the second case I gave for the DSL/FiberOptic case, but a more intuitive explanation is simply that customers who would pay for phone service are likely older and thus in a more stable place. The customer Not having a Dependent may similarly suggest a more economically stabalized customer. Or at least one who is more reliant on having consistent internet service for work and or schooling needs.

The broad takeaways I would pass onto the business is customers who were not using their more Quality of Life services (OnlineSecurity, Techsupport, and PaperlessBilling) were more likely to Churn. Customers who were paying for Television Streaming services showed in increased risk of churn, which could be for a myriad of factors and worth looking into. Having a phone line and Dependents indicated customers who were less likely to churn, so looking into increasing advertising to those demographics could result in more customers with decreased likelihood to Churn.

15. Final Comparison: Logistic Regression vs XGBoost

Compare the two models using your results.

Your discussion should answer:

- Which model performed better?
- On which metric(s)?
- Why might XGBoost perform better on this dataset?
- What is one limitation of XGBoost?

```
In [22]: # TODO:
# Print a side-by-side comparison of the main metrics
# for Logistic Regression and XGBoost
print("metric F1")
# your code here

print("Logistic Regression")
print("Threshold Default:", f1_score(y_test, baseline_pred))
print("Threshold 0.4:", f1_score(y_test, (baseline_prob > 0.4).astype(int)))

print("XGBoost")
print("Threshold Default:", f1_score(y_test, xgb_pred))
print("Threshold 0.4:", f1_score(y_test, xgb_pred_th))
```

```
metric F1
Logistic Regression
Threshold Default: 0.581021897810219
Threshold 0.4: 0.6299615877080665
XGBoost
Threshold Default: 0.56797583081571
Threshold 0.4: 0.6240409207161125
```

TODO (write your answer below):

The basic Logistic Regression performed better on the F1-Score metric. I suspect that XGBoost did worse mostly as a result of overfitting. I was trying to remove as few variables as possible, which added to the complexity. Given that Logistic Regression is less susceptible to this, I suspect that is the source of the unexpected outcome. That possibility of overfitting is the limitation that I would hand to XGBoost.

16. Suggested Submission Checklist

Before submitting, make sure your notebook includes:

- completed code cells,
- outputs for each section,
- your selected main evaluation metric and justification,
- tuned XGBoost hyperparameters,
- feature importance results,
- interpretation of important features,

- and a final comparison of the two models.

In []: